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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular Examination October 2025

THIRD SEMESTER

Discipline Specific Elective (DSE)- MG3DSEECO203-MONETARY ECONOMICS

(2024 ADMISSION ONWARDS)

SCHEME OF VALUATION

Duration: 2 Hours Maximum Marks: 70

Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 marks

1. Unit of account
2. Cash Reserve Ratio
3. Contractionary
4. Increasing taxes
5. Reserve Bank of India
6. The system under which money supply is regulated in an economy
7. Predictable and stable over the long run
8. Osborne Smith
9. Cost-push inflation
10. Accepting deposits

Part B

Short Answer

Answer any 10 questions

Each questions carries 3 marks

11. The central banks take still a broader view of money supply- Central banks are entrusted with the task of controlling and regulating the credit flows in accordance with the need

of the economy- Ensures uniformity in currency- Prevents over issue of notes- Strengthens monetary control and stabilizes prices.

12. Rational expectations suggest that people use all available information to predict future economic variables- When monetary policy changes are anticipated, individuals adjust their behavior, making the policy ineffective in changing real output or employment- Thus, in the long run, money becomes neutral, it only affects nominal variable(such as prices and wages), not real variables.
13. The rate at which short-term funds are borrowed/lent -The money that is lent for one day- it is used for inter-bank transactions-It is highly volatile and changes daily-It reflects the liquidity position in the banking system-It is a key indicator of short-term money market conditions.
14. Features: Digital form of currency, stored electronically, used for online and card-based payments.

    Advantages: Convenience, speed, reduced transaction cost, global accessibility.

    Disadvantages: Cybersecurity risks, lack of privacy, dependence on technology.
15. External shocks (like oil price rise), supply-side constraints (like low production capacity), and high public debt limit a central bank's ability to control inflation and growth-They cause conflict between price stability and growth objectives, making monetary policy less effective.
16. Barter System: Direct exchange of goods; faced "double coincidence of wants" problem.

    Commodity Money: Valuable goods like gold, salt, or cattle used as medium.

    Metallic and Paper Money: Coins, notes issued by state authority; improved convenience.

    Credit and Electronic Money: Modern banking and digital transactions.
17. The real-balance effect (also called Pigou effect) it refers to how changes in real money balances affect consumption and output-In neoclassical synthesis, it integrates monetary factors with Keynesian models, showing that a fall in prices increases real balances, boosting consumption and restoring full employment equilibrium.
18. The Liquidity Adjustment Facility (LAF) is a monetary policy tool by which the RBI manages short-term liquidity through repo and reverse repo operations- It helps control money supply, interest rates, and liquidity in the banking system.
19. In a market there is interaction between the flow of money and flow of goods and services-When more money chases relatively less quantity of goods and services the

excess of demand relative to supply pushes up the prices of goods and services-such inflation as a result of increased money expenditure- Example: During economic booms, increased consumer spending raises prices of goods and services faster than production can expand.

20. Narrow Money (M1)= Currency with the public (C) + Demand Deposit (DD) with the banking system+ Other Deposit (OD) with the RBI.- Highly liquid-Short-term measure- Directly controlled by RBI.

    Broad Money (M3)= M1+ Time Deposit with the Banking System.- Less liquid Comprehensive money supply measure -Partly influenced by commercial banks.
21. Demand-pull inflation arises from excess demand and usually coincides with an increase in money supply-Cost-push inflation results from rising production costs (like wages or raw materials) and may occur even without monetary expansion.
22. Keynesian theory of demand for money-three categories-The transaction motive refers to holding money to meet day-to-day expenses. It depends on income level and payment frequency. In monetary theory, it represents the active demand for money and links money supply to real economic activity.
23. LAF allows the RBI to adjust liquidity on a daily basis by lending (repo) or absorbing funds (reverse repo) from banks- Objectives of LAF- It stabilizes short-term interest rates, ensures liquidity, and maintains orderly financial markets-to act as a monetary policy signaling mechanism.
24. A balance sheet of an institution indicates its liabilities and assets.

Liabilities	Assets
Capital	Cash and Balances with RBI
Reserves and Surplus	Balances with other banks and money at call and short notice
Deposits (Demand and Time deposits)	Investment in Government and Other Securities
Borrowings	Advances
Other Liabilities and Provisions	Fixed Assets
	Other Assets

25. Money serves as a store of value and medium of deferred payment, allowing people to save now and spend later-It bridges the time gap between production and consumption, enabling investment, savings, and credit transactions.

Part C

Short Essay

Answer any 5 questions

Each question carries 6 marks

26. Commodity Money: Has intrinsic value (value in itself)-Used historically as gold, silver, salt, or cattle-Example: Gold coins in ancient trade.
Fiat Money: Has no intrinsic value; its value comes from government decree-Backed by trust in the issuing authority-Example: Indian Rupee, US Dollar.
Representative Money: Paper or token representing a claim on a commodity that can be redeemed-Convertible into gold or silver during the gold standard era-Example: Gold certificates or paper backed by gold reserves.

27. The Quantity Theory of Money explains the relationship between money supply and price level- There are two major versions of quantity theory of money-Cash Transaction Approach and Cash Balance Approach-Cash Transaction Approach: Fisher- medium of exchange as the major functions of money- Fisher's Equation of Exchange MV=PT.
where,
M = Total supply of money
V = Velocity of circulation of money
P = General price level
T = Total transactions in physical goods

V and T are constant in the short run- Any change in M leads to a proportional change in P.-An increase in money supply causes inflation; reduction leads to deflation.

Cambridge Cash Balance Approach: Popularised by Pigou, Marshall, Robertson, Keynes and Hawtrey.-Emphasizes store of value function of money or cash balance instead of transactions.
Pigou's Equation:- $\pi = KR/M$
Where,
Π – The Purchasing power of money
K- The proportion of income that people like to hold in the form of money
R- The volume of real income
M- The stock of supply of money in the country at a given time
It shows that the purchasing power of money or the value of money (π) varies directly with K or R, and inversely with M.

Marshallian Cash Balance Equation:- $M=KPY$

M- Supply of money
P- Price level
Y- Aggregate real income

K- Fraction of the real income which the people desire to hold in the form of money.
P is directly related to the M and inversely related to the KY

Robertson's Equation:- M=KPT
P changes directly with M and inversely with K and T

Keyne's Reformulated Quantity Theory of Money: n=pk
Keynes Demand for Money- criticism against classical quantity theory.

28. Inflation Expectations:When inflation is expected to rise, interest rates increase-Investors shift from bonds to real assets, reducing liquidity in financial markets.
Uncertainty: Political or economic uncertainty causes investors to hoard cash-Volatility increases and market confidence decreases, lowering liquidity.
Interest Rate Fluctuations: Higher rates discourage borrowing and reduce trading volumes.
Exchange Rate Volatility: Depreciating currency may cause foreign investors to withdraw funds, shrinking liquidity.
Economic Growth Prospects: Stable and positive growth enhances liquidity as investors are confident.
Liquidity is sensitive to macroeconomic conditions- stable inflation and low uncertainty support active, liquid financial markets.

29. Tier 1 Capital:- Core capital that provides permanent equity and absorbs losses without ceasing operations-Components:- Paid-up equity capital, disclosed reserves, retained earnings- Risk Absorption:-Stronger, first line of defense.- Regulatory Requirement:-Minimum 6% of risk-weighted assets- Example:-Common equity, stock surplus.
Tier 2 Capital:- Supplementary capital that absorbs losses only in case of liquidation-Components:- Undisclosed reserves, subordinated debt, hybrid instruments- Risk Absorption:- Weaker; second line of defense- Regulatory Requirement:- Maximum 2% of risk-weighted assets- Example:- Subordinated term debt, revaluation reserves.
Tier 1 ensures financial strength and solvency; Tier 2 provides additional protection in adverse conditions.

30. Variable Time Lags: Policy changes take time to affect output and prices-Recognition, implementation, and impact lags reduce policy precision.
Financial Market Imperfections: Underdeveloped markets, credit constraints, or weak transmission channels distort the effect of interest rate changes.
Liquidity Trap: When interest rates are near zero, people prefer to hold cash rather than bonds-Monetary expansion fails to stimulate investment or spending.
Expectations and Confidence: If people expect future inflation or instability, monetary easing may fail to boost demand.
External Factors: Capital flows and exchange rate pressures can offset domestic policy actions.
Due to these structural and behavioral factors, monetary policy may lose its effectiveness, particularly during recessions or unstable conditions.

31. Barter system faced major difficulties: Double coincidence of wants,Lack of common measure of value,Indivisibility of goods, Difficulty in storing wealth and Lack of deferred payments.
    Money solves these problems:-
    Medium of Exchange: Eliminates double coincidence of wants. Example: Buying clothes with cash instead of exchanging goods.
    Measure of Value: Common unit for pricing-the rupee.
    Store of Value: Money retains value for future use.
    Standard of Deferred Payment: Future payments can be expressed in money.
    Transfer of Value: Easy transfer from one person to another.
    Money enhances efficiency and expands trade by replacing the inefficient barter system.

32. Criticism against classical quantity theory-what proportion of wealth should be held in the form of money-individual hold their wealth either in the form of money or bonds-Keynes proposed three motives for holding money: Transactions motive, Precautionary motive and Speculative motive.
    Transactions Motive (Lt):- Money that an individual hold, to meet day to day expenses-it is function of income-The individuals transactions balance is a constant proportion of his money income- Lt=f(Y).
    Precautionary Motive (Lp):-The essence of this motive is uncertainty about the future-it is separated for unexpected expenses- This depends directly on the level of income-Lp=f(Y).
    L1 (Lp+Lt)=f(Y)
    L1 is Interest Inelastic
    Speculative Motive L2= f(r)
    Highlights store of value function of money-the amount of money held for speculative motive will depend on the interest rate.
    L2 is Interest Elastic
    Rate of interest and bond prices are inversely related.-Liquidity trap:-Explain with figure.

33. Developing Country:- Control inflation while supporting growth and employment-Challenges-Weak financial institutions, fiscal dominance, supply shocks-Policy Autonomy- Often influenced by government borrowing- Transmission Mechanism-Weak and delayed. Developed Country:- Maintain price stability as primary goal-Challenges- Stable institutions, advanced markets-Policy Autonomy- Independent central banks- Transmission Mechanism- Strong and predictable.
    Inflation targeting is harder to implement in developing economies due to structural constraints and conflicting policy goals.

34. CPI (Consumer Price Index) measures changes in prices of goods and services consumed by households-It reflects the average cost of living by showing how much income is required to maintain the same standard of living.
    Example: If CPI increases by 6%, it means the cost of maintaining the same consumption basket has risen by 6%-Used for wage indexation, pension adjustments,

and inflation targeting- CPI serves as a cost-of-living index since it measures how changes in prices affect consumers' purchasing power.

35. Conventional Approach:-Classical and Keynesian schools- Real sector (output, employment)- Active fiscal and monetary policy- Passive, affects only prices in long run- Income-expenditure models- Demand management. The conventional approach focuses on real variables and policy intervention.
    Chicago Approach:- Milton Friedman and Chicago economists- Monetary factors and money supply- Stable monetary growth rule- Active, affects output and employment even short-run- Quantity theory of money- Long-run price stability. The Chicago approach emphasizes the dominant role of money in determining economic stability.